Southerly Economics

Independent research

South East Queensland Residential Land Market Review

June 2026 update, with a focus on Moreton Bay

Prepared for Quillwood Credit Partners

Prepared by Southerly Economics

Version 1.0, 15 June 2026

Supersedes the May 2025 review

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Synthetic - for demonstration. All names, entities and figures are fictional.

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Report title	South East Queensland residential land market review, June 2026 update
Prepared by	Southerly Economics
Prepared for	Quillwood Credit Partners
Date	15 June 2026
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Supersedes	South East Queensland residential land market review, May 2025
Primary geography	Moreton Bay local government area, Queensland
Submarkets of interest	Burpengary East and Morayfield

Document details

1. Purpose and summary

This report updates and supersedes the May 2025 review of the South East Queensland residential land market. It has been prepared for Quillwood Credit Partners to support the assessment of lending exposure to land subdivision and lot development in the Moreton Bay region. Readers should discard the May 2025 review and rely on this document for current market indicators.

The review concentrates on Moreton Bay because it is the part of the region where new lot supply, owner occupier demand and investor interest currently overlap most heavily. Within Moreton Bay we give specific attention to Burpengary East and Morayfield, which together account for a large share of recent and planned house and land packages in the northern corridor.

Key findings

- The Moreton Bay median lot price is A$552,000, up 10.8% over the 12 months to May 2026. The implied median a year earlier was approximately A$498,200, so the annual increase is about A$53,800 per lot.
- Annual lot sales total 4,410. Demand remains deep, but it is now being met by a larger pipeline of registered and near-registered stock.
- Months of supply is 5.9. This is within the range we would describe as balanced to moderately tight, and it implies available stock of approximately 2,170 lots at the current sales rate.
- The settlement default rate is 1.9%, or roughly 84 of the 4,410 annual sales on a simple proportional basis. This is low in absolute terms, but it is the indicator most likely to deteriorate first if financing conditions tighten.
- Lot prices in Burpengary East and Morayfield sit in a band of A$540,000 to A$575,000, which is between 2.2% below and 4.2% above the Moreton Bay median.
- The two principal risks to the outlook are civil contractor capacity, which constrains the timing of new lot registrations, and interest rates, which drive buyer serviceability and settlement behaviour.

Our overall view is that fundamentals remain supportive, but the pace of price growth recorded over the past year is unlikely to be repeated without a corresponding increase in household borrowing capacity. Lenders should underwrite to stabilised or modestly lower pricing rather than extrapolate recent gains.

2. Scope, data and method

The indicators in this report are drawn from Southerly Economics proprietary lot sales records, which are compiled from contract and settlement data supplied by developers, selling agents and conveyancers, supplemented by publicly available registrations of new titles and local government approvals. All figures are for the 12 months to May 2026 unless otherwise stated.

Median lot price refers to the median contracted price of vacant residential lots sold during the period, across all lot sizes. Lot sales are counted at contract date. Months of supply is calculated as available lot stock divided by average monthly sales over the preceding 12 months. Available stock includes registered, unsold lots and lots expected to register within six months where a contract of sale could reasonably be entered into. The settlement default rate is the proportion of contracted lot sales that failed to settle on or after the contractual settlement date and were

subsequently terminated or re-contracted.

Where this report presents derived figures, such as the implied prior-year median or the implied stock level, these are calculated from the headline indicators and are rounded. They are intended to assist interpretation and should not be treated as separately observed data.

3. Regional context

South East Queensland has experienced sustained population inflows from interstate and overseas, and the supply of greenfield land close to employment nodes has not kept pace with household formation. Constraints include trunk infrastructure delivery, environmental and flood overlays, and the time taken to move from rezoning to registered lots. The result has been a market in which established house prices set a ceiling for what buyers can pay for a house and land package, and lot prices have risen to capture much of that headroom.

Within the region, the northern corridor from Burpengary through Morayfield to Caboolture offers some of the more affordable access to the Brisbane labour market by rail and the Bruce Highway. Moreton Bay therefore competes for buyers who are priced out of closer-in suburbs and from parts of the Sunshine Coast. That positioning supports demand but also exposes the market to changes in borrowing capacity, because the typical buyer is a first home buyer or upgrader with limited equity.

4. Moreton Bay lot prices

The Moreton Bay median lot price has risen to A$552,000, an increase of 10.8% over the year. Growth was steady through the period rather than concentrated in a single quarter, which is a more constructive pattern than a short burst of price rises followed by stalling. The series below shows Southerly Economics estimates at the end of each of the last four quarters alongside the May 2025 starting point.

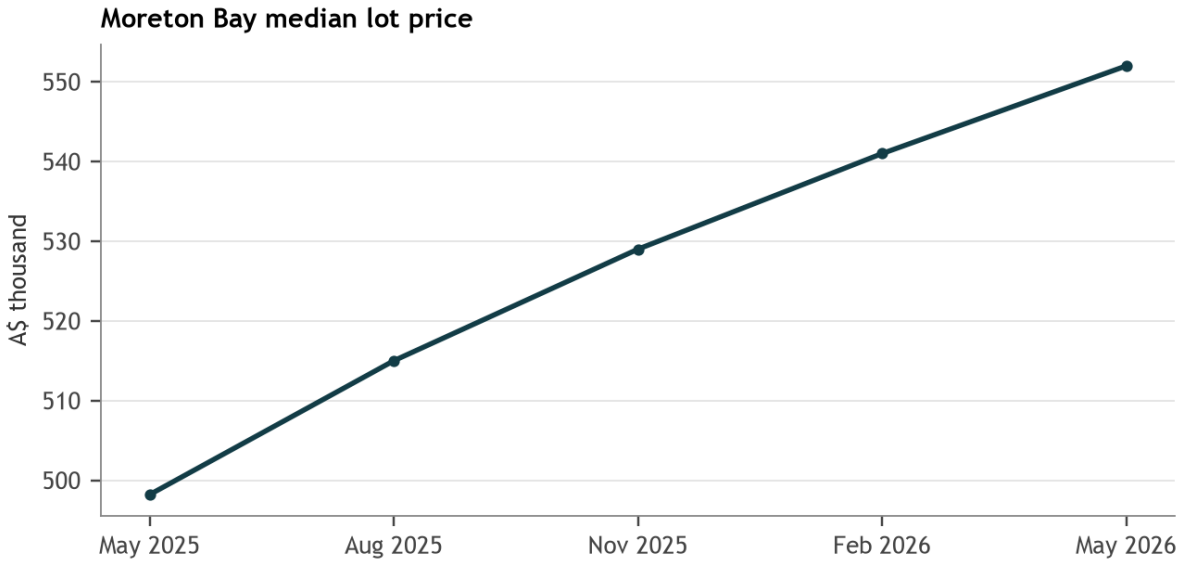


Figure 1: Moreton Bay median lot price, May 2025 to May 2026. Source: Southerly Economics.

Three factors explain most of the increase. First, construction costs for civil works and services have risen, and developers have passed these through to lot prices. Second, scarcity of registered lots in well-located estates has allowed vendors to release stages at higher prices. Third, buyer demand has been supported by government grants and concessions for first home buyers, which are capitalised into prices to some degree.

The rate of increase has moderated modestly through the second half of the period. The change from February 2026 to May 2026 was approximately A$11,000, compared with approximately A$14,000 in each of the two preceding quarters. We read this as a normalisation rather than a turning point, but it is consistent with affordability becoming a constraint.

5. Sales and supply

5.1 Lot sales

Annual lot sales of 4,410 equate to an average of about 368 contracts per month. Sales volumes have been resilient despite higher prices, indicating that buyers remain willing to commit to land ahead of construction. A high share of contracts continue to be for owner occupiers who intend to build under fixed price building contracts, while investor participation is concentrated in smaller lots and townhouse sites.

5.2 Months of supply

Months of supply is 5.9. At the current sales rate this implies available stock of approximately 2,170 lots. A level close to six months is generally consistent with stable to gently rising prices. Levels below four months have historically been associated with rapid price growth and developer rationing of releases, while levels above nine months have been associated with discounting and extended sell-out periods.

The more important consideration for lenders is how quickly supply could rise relative to sales. Stock that is currently unregistered but approved can come to market in large tranches once civil works are complete, and several estates have stages scheduled to register within the next two quarters. If sales slow while those stages register, months of supply could lengthen quickly. Section 9 tests this.

6. Settlement performance

The settlement default rate is 1.9%. This indicates that the large majority of contracted purchasers are able to obtain finance and complete. On the 4,410 annual sales, the rate corresponds to approximately 84 lots that failed to settle on time.

The rate should be read with three qualifications. First, buyers who contracted at the peak of recent price growth may face valuation shortfalls at settlement if the bank valuation comes in below the contract price. This risk is greater for lots sold off the plan and settled many months later. Second, the default rate is a lagging indicator. Contracts signed in a period of rising rates can fail some months afterwards, when the settlement date arrives. Third, a low rate reflects the current mix of buyers, which is weighted to owner occupiers with approved finance, and a greater proportion of investor purchasers would tend to raise it.

Indicator	June 2026 reading	Interpretation
Median lot price	A$552,000	Up 10.8% on 12 months
Implied prior-year median	A$498,200	Derived from growth rate
Annual lot sales	4,410	About 368 per month
Months of supply	5.9	Balanced to moderately tight
Implied available stock	About 2,170 lots	Derived from supply and sales
Settlement default rate	1.9%	About 84 lots on annual sales

Table 1: Moreton Bay key indicators, 12 months to May 2026

7. Submarket review: Burpengary East and Morayfield

Burpengary East and Morayfield are two of the most active land submarkets in the northern part of Moreton Bay. Both benefit from proximity to the Bruce Highway and to the Northern rail line, and both have a pipeline of master planned estates delivering lots in the 300 to 450 square metre range. Lot prices across the two suburbs range from A$540,000 to A$575,000.

Submarket	Lot price range	Typical lot size	Versus Moreton Bay median
Burpengary East	A$540,000 to A$565,000	330 to 450 sqm	-2.2% to +2.4%
Morayfield	A$550,000 to A$575,000	300 to 420 sqm	-0.4% to +4.2%
Combined range	A$540,000 to A$575,000	300 to 450 sqm	-2.2% to +4.2%

Table 2: Lot price ranges in Burpengary East and Morayfield, June 2026

Prices in the two suburbs track the regional median closely. Burpengary East lots at the lower end of the range are slightly below the Moreton Bay median, which is consistent with larger average lot sizes and a position further from the rail station. Morayfield achieves a modest premium at the upper end, driven by smaller lots close to retail and transport and by the presence of newer stages in established estates.

From a credit perspective, the narrow dispersion of prices is a positive. It suggests that valuers have comparable sales evidence and that there is no material speculative premium attached to a single estate. The main concentration risk is that a large share of recent sales in both suburbs originates from a small number of developers, so the sell-out performance of any one estate may influence local price evidence.

8. Key risks

8.1 Civil contractor capacity

Civil contractor capacity is the principal supply side risk. Earthworks, roadworks, stormwater and services contractors are working at high utilisation across South East Queensland, because lot development competes for the same labour and plant as large public infrastructure projects and commercial construction. Capacity constraints affect lot development in several ways.

- Programme delay: staged civil works can run behind schedule, which delays plan registration and therefore delays settlement of presold lots. Extended settlement timetables increase the exposure of both developers and purchasers to changes in finance conditions.
- Cost escalation: tight capacity enables contractors to reprice tenders, and fixed price contracts are increasingly offered with shorter validity periods or with provisional sums that leave cost risk with the developer.
- Contractor insolvency: thin margins and rising input costs raise the risk that a civil contractor fails mid-project, which can stall a stage and require a replacement at a higher price.
- Supply timing: constrained delivery can keep months of supply low in the short term and then release stock in clusters, producing volatility in available stock.

Capacity constraints are mildly supportive of existing lot prices because they limit new supply, but they work against project-level credit quality. A lender is exposed to the development programme and the contractor's financial position even where end market pricing is strong.

8.2 Interest rates

Interest rates affect the market through three channels. They determine buyer borrowing capacity and therefore the price buyers can pay for a lot. They affect the settlement outcome for contracted buyers, who must obtain finance on the settlement date at the rates prevailing then rather than at the time of contract. And they affect the funding cost of developers and the yield investors require from land banking.

The 1.9% settlement default rate suggests that these effects are currently contained. However, a land purchaser typically contracts months before settlement and then builds, so serviceability stress can emerge with a significant lag. A modest rise in variable lending rates or a tightening of lender assessment buffers would reduce the maximum loan available to a typical buyer, which in turn would put pressure on prices at the top of the Burpengary East and Morayfield range.

8.3 Other risks

- Valuation shortfalls at settlement where recent price growth is not matched by bank valuations.
- Flood and environmental constraints, which can reduce the usable area of a site or increase earthworks cost.

- Trunk infrastructure charges and timing of local government approvals.
- Concentration of sales in a small number of estates and developers.

9. Stress testing

To illustrate the sensitivity of the market to adverse conditions, we apply simple scenarios to the median lot price and to months of supply. These are not forecasts. They show the order of magnitude of outcomes that lenders should consider when setting advance rates and sell-out assumptions.

9.1 Price scenarios

Scenario	Median lot price	Fall from base
Base case	A$552,000	Nil
Mild decline (10%)	A$496,800	A$55,200
Moderate decline (15%)	A$469,200	A$82,800
Severe decline (20%)	A$441,600	A$110,400

Table 3: Moreton Bay median lot price under stress

A 10% fall would return the median to roughly the level observed in the second half of 2025, which gives some indication of how quickly recent growth could be reversed. A 15% fall would put the median below the May 2025 starting point of A$498,200 by approximately A$29,000, and a 20% fall would put it approximately A$56,600 below that level.

9.2 Sales and supply scenarios

The next table holds available stock constant at approximately 2,170 lots and reduces annual sales. In practice, stock would be likely to rise as stages register, so the results understate the potential extension of months of supply.

Scenario	Annual lot sales	Months of supply
Base case	4,410	5.9
Sales fall 15%	3,749	6.9
Sales fall 25%	3,308	7.9

Table 4: Months of supply under reduced sales, stock held constant

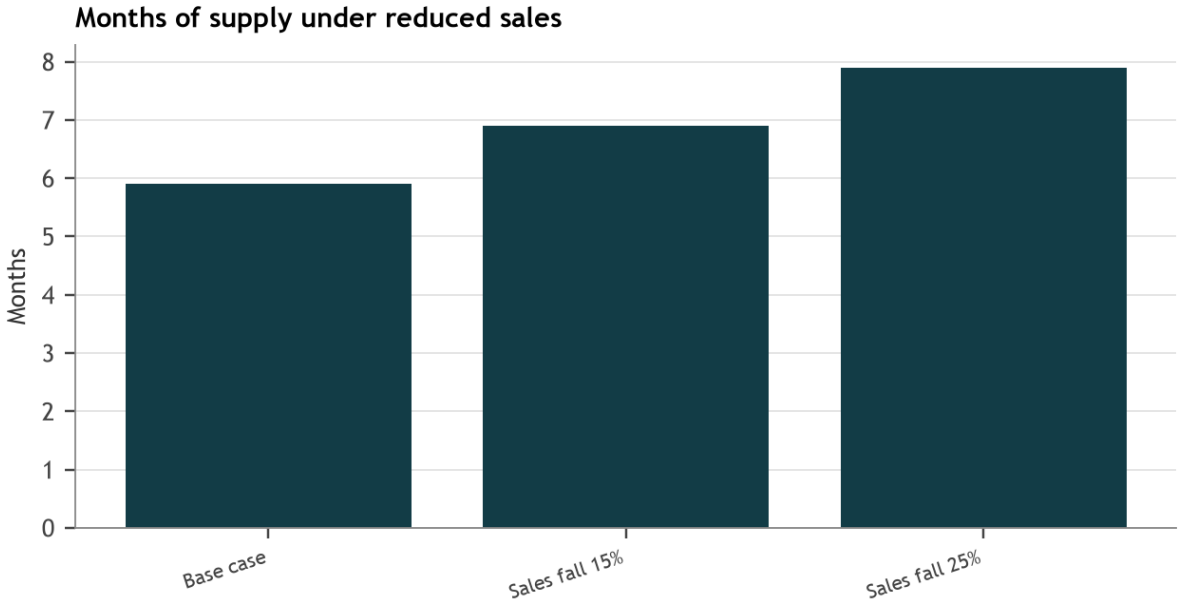


Figure 2: Months of supply with available stock held at approximately 2,170 lots. Source: Southerly Economics.

Even a 25% reduction in sales would leave months of supply below nine, the level we associate with active discounting. This suggests the market has a reasonable buffer against a demand shock when considered in isolation. The combination of a demand fall and an acceleration of lot registrations is the more relevant downside, and should be reflected in project sell-out periods.

10. Implications for lenders

The following observations are offered to inform credit assessment. They do not constitute a recommendation on any individual transaction.

- Valuation basis: use sales evidence that reflects settled transactions rather than asking prices, and consider the median of A$552,000 as an upper reference point for Burpengary East and Morayfield rather than a floor. Pricing assumptions in feasibility studies at or above A$575,000 are at the top of the observed range and warrant scrutiny.
- Presales: weigh presale contracts according to buyer finance status, deposit size and the time to settlement. Longer registration timetables increase the risk that contracts fail at settlement.
- Programme and cost: require evidence of civil contractor capacity, including the contractor's financial standing, current workload and the form of the construction contract. Allow a contingency and a programme buffer that reflect current market conditions.
- Rates sensitivity: test the serviceability of the typical buyer at a higher interest rate and a lower valuation, and test the project's sell-out under the 15% price and 15% sales scenarios above.
- Monitoring: track the settlement default rate and months of supply quarterly. A rise in the default rate well above 1.9%, or months of supply moving beyond seven, would be an early warning of deteriorating conditions.

11. Outlook

Over the next 12 months we expect Moreton Bay lot prices to be broadly stable to modestly higher, with growth materially below the 10.8% recorded in the past year. Population growth, constrained supply of registered lots and the relative affordability of the northern corridor continue to support demand. Against this, affordability is stretched, and further rises in lot prices will depend on household incomes and on borrowing conditions rather than on scarcity alone.

We expect months of supply to remain in a range of about five to seven months. Annual lot sales should remain near current levels, with the mix tilting towards owner occupiers. The settlement default rate is likely to remain low while employment is strong, but is the indicator most exposed to a change in interest rates.

The balance of risks is weighted to the downside for credit outcomes, even though the central outlook for prices is stable. Delays caused by limited civil contractor capacity and a rise in borrowing costs could affect projects concurrently, and this combination matters more than either risk alone. Lenders with exposure to Burpengary East and Morayfield should plan for extended sell-out periods and modest price softness within their base case.

12. Limitations

This report is a general market review and is not a valuation. It does not consider the circumstances of any particular property, borrower or development. The data are subject to revision as contracts settle and as late registrations are reported. Derived figures are rounded and are based on the headline indicators shown. Forward-looking statements reflect the judgement of Southerly Economics at 15 June 2026 and are subject to uncertainty. This document supersedes the May 2025 review and should be read in full.